CIPHEX

CIPHEX ALPHA

March 31,2026 Optimization Summary

Autonomous Market Intelligence and Portfolio Management

Phase III Precommercial Testing & Optimization

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Q1 2026 Performance Summary (Phase III Optimization)

Reporting Period: January 1 to March 31, 2026
Classification: Precommercial Optimization Phase III
Framework: CipheX Alpha – Abacus I (Abigail)

Executive Overview

CipheX Alpha delivered a measured and progressively refined performance profile throughout **Q1 2026**, reflecting continued advancement within its Phase III optimization development. The system continues to improve its deterministic execution logic, with a strong emphasis on rule-based controls, capital preservation, and improving risk-adjusted consistency based on current market conditions.

- **Total Return (Since Inception): 14.30%**
- **Risk-Adjusted Return: 10.00%**
- **Capital Return Efficiency (CRE): 1.25**
- **Maximum Drawdown: (11.46%)** *(Observed November 2025)*

Quarterly performance reflects a transition away from simple return generation and standard execution signals toward a more disciplined, efficiency-focused framework, increasing its ability to interpret real time changing market conditions into structured, systematic and consistent execution decisions.

January 2026 — Early Volatility and Effective Stabilization

- **Period Ending Return: +0.86%**
- **Highest Daily Gain: 0.75%**
- **Highest Daily Loss: (0.69%)**
- **Capital Return Efficiency (CRE): 0.88**

January opened with immediate downside pressure, including a **(0.69%) loss on January 1, followed by (0.65%) on January 6, (0.10%) on January 7, (0.21%) on January 8, and (0.39%) on January 10.** These moves reflected fragmented liquidity and short-term uncertainty following year-end repositioning. Despite early instability, Abacus I maintained effective downside containment. Losses remained shallow and non-compounding, with recovery occurring quickly and systematically. By the second half of the month, execution consistency improved, loss frequency declined, and volatility was absorbed more efficiently, stabilizing performance without overexposing capital.

January 2026 Macro Economic Summary on Abacus I Market Activities

January's market environment was driven by sensitivity to interest rates and shifting liquidity conditions. U.S. Treasury yields remained elevated in the **~4.15% to 4.30%** range, making lower-risk assets more attractive and reducing capital flowing into higher risk crypto markets. At the same time, post-year-end portfolio adjustments and slower institutional activity early in the month led to thinner market liquidity and more fragmented price movement. This type of environment typically results in short bursts of volatility, which explains the early losses observed. Abacus I's performance during this period demonstrates its improving ability to manage risk and contain losses, even in low-liquidity conditions where price movements are less stable and more reactive.

February 2026 — Volatility Spike with Improved Recovery Mechanics

- **Period Ending Return: +2.63%**
- **Highest Daily Gain: 2.59%**
- **Highest Daily Loss: (2.11%)**
- **Capital Return Efficiency (CRE): 1.13**

February introduced a more complex volatility environment, with larger drawdown events offset by stronger recovery dynamics. The system recorded losses of **(0.12%) on February 1**, **(0.25%) on February 4**, and a significant **(2.11%) on February 5**, representing the largest single-day decline during Q1. Additional downside pressure was observed on **February 12 with a (0.49%) loss**. The February 5 event reflects a market-driven disruption that Abacus I could not immediately respond to, driven by localized volatility spikes and broader liquidity compression across certain asset classes. Once integrated into its adaptive risk management framework, recovery occurred rapidly, with improved loss containment across all traded asset classes. Execution thresholds and exposure levels were recalibrated in real time to manage volatility and capital at risk, enabling the system to absorb sharp downside movements without material impact to allocations. As the month progressed, positive return clustering increased while loss frequency declined. February closed with a +2.63% return and a capital return efficiency of 1.13, reinforcing more consistent performance outcomes.

February 2026 Macro Economic Summary on Abacus I Market Activities

February conditions were defined by elevated macro uncertainty and periodic shifts into defensive positioning, with capital rotating out of higher-risk assets like crypto into U.S. Treasuries and money market funds. Inflation remained firm, with CPI readings above target reinforcing expectations that the Federal Reserve would keep rates higher for longer rather than pivoting early cuts. Markets reacted sharply to economic releases and Fed commentary, creating episodic volatility across risk assets. Liquidity compressed quickly as exposure was reduced, followed by rapid rebounds as capital rotated back in. The (2.11%) loss on February 5 reflects this environment, where repricing was driven by macro sentiment rather than asset-specific factors. These dislocations also created short recovery windows as risk appetite returned. Abacus I's February performance highlights its ability to capture this volatility asymmetry, where recovery magnitude outweighed initial drawdowns.

March 2026 — Stabilization and Refined Risk Distribution

- **Period Ending Return: +1.03%**
- **Highest Daily Gain: 2.06%**
- **Highest Daily Loss: (1.37%)**
- **Capital Return Efficiency (CRE): 1.25**

March marked a transition into a more stable execution phase, where ongoing Phase III refinements became more integrated into system behavior. Loss events were more distributed across the month, including **(0.16%) on March 19**, **(0.84%) on March 20**, **(0.12%) on March 21**, **(1.04%) on March 22**, **(0.04%) on March 24**, **(1.37%) on March 27**, **(1.05%) on March 28**, **(0.99%) on March 29**, and **(0.62%) on March 30**. March's lower return relative to February's **+2.63%** reflects higher loss frequency rather than loss severity. Each negative session remained contained and non-compounding, but the increased number of small losses in the latter half of the month created incremental drag on performance. This shift was driven by tighter price ranges and a lack of sustained trends, with frequent short-term reversals limiting larger, clustered gains.

As a result, the system prioritized capital preservation and controlled exposure, maintaining stability while capturing smaller gains. Despite the lower monthly return of **+1.03%,** performance quality improved. Risk-adjusted return reached 10.00%, the highest level observed during the quarter, indicating more efficient conversion of market activity into controlled outcomes.

March 2026 Macro Economic Summary on Abacus I Market Activities

March reflected a more stable macroeconomic backdrop, with Treasury yields holding steady and clearer expectations around monetary policy. This supported more orderly capital flows across risk assets, including digital markets. However, volatility remained due to geopolitical factors and shifting liquidity, resulting in more frequent but smaller price movements rather than large dislocations. This aligns with the distribution of losses during the month, where volatility was present but less extreme, allowing Abacus I to operate more consistently while continuing to refine its risk management framework.

April 2026 Outlook (First 10 Days)

- **Highest Daily Gain: 1.28%**
- **Highest Daily Loss: (0.37%)**
- **Capital Return Efficiency (CRE): 1.37**

The first ten days of April reflect gains of approximately **+1.28%** . This performance indicates Q1 system refinements are translating into stronger execution consistency and improved capital efficiency. Total returns since inception have reached **15.66%,** with risk-adjusted returns at **11.35%** and capital return efficiency at **1.37**, reinforcing the upward trend in performance quality. From a market perspective, early April reflects more constructive risk sentiment, with capital rotating back into higher-yielding asset classes as macroeconomic conditions stabilize. While the sample size remains limited, this performance signals a more favorable improvement on the system's refined risk management, capital allocation management and predictive frameworks.

Phase III Continued Development Evolution

The **(11.46%) maximum drawdown** recorded during the November 2025 crypto market correction represents a defining inflection point in system development. The correction period exposed structural stress conditions, including liquidity fragmentation, correlation breakdown, and volatility clustering across digital assets. As described in the FYE2025 Phase II Optimization Report, improvements in abacus I related transaction fees, exchange related trading fees and slippage were identified, especially during these conditions. In addition, optimization and development of modular frameworks to the system were prioritized for 2026 development as described in the CipheX Phase III Abacus AMS/EMS development roadmap. This Phase III optimizations support:

- More efficient target identification of short-duration opportunities across all asset classes.
- Adaptive risk adjustments of execution parameters based on real-time volatility and liquidity conditions.
- Reduced need for defensive positioning with increasing efficiency in trade setups and exit strategies.
- Increased capital-at-risk exposure management across all asset classes within dynamic risk parameters.
- Increased loss containment protocols to limit downside per execution and prevent cascading losses.

End Report